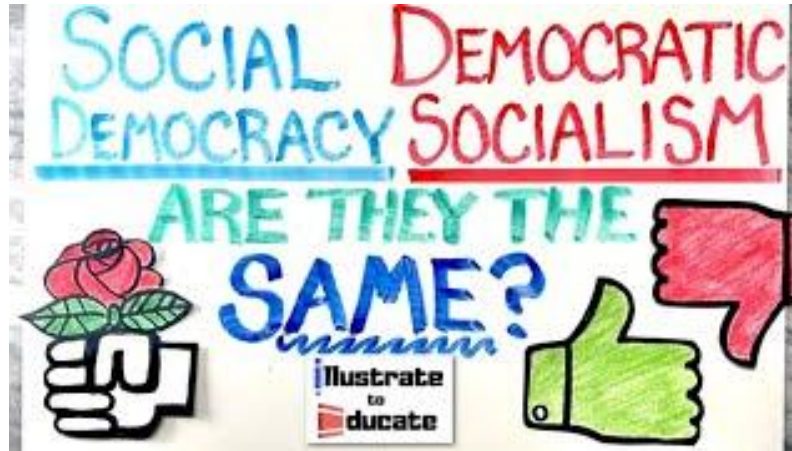
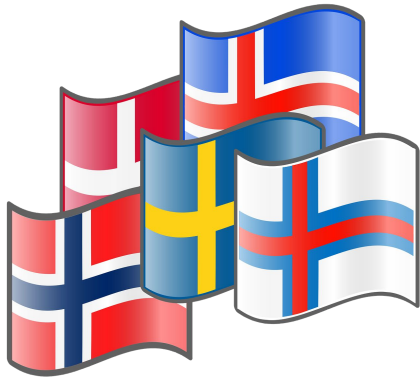


Part C: Social Democracy in Sweden / Nordic Countries

Democratic Socialism or Social Democracy?

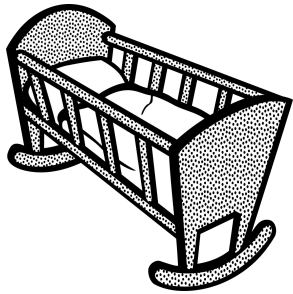
The Nordic Model

The Nordic Model refers to the social/economic models of the Nordic nations including Sweden, Finland, Norway, Iceland, and Denmark.



Social Democracy vs. Democratic Socialism

<u>Social Democracy</u>	<u>Democratic Socialism</u>
<u>Core Philosophy</u>	
Focus on Mixed Economy - Mostly Private Sector but many welfare programs	Socialist Economy - Transition to mostly government owned industry to redistribute wealth.
<u>Economic Systems</u>	
Predominantly private enterprise (capitalistic), but balanced with many social programs and steep progressive taxation to promote economic equality.	Advocates for worker owned cooperatives and public ownership of key industries. Economic equality is provided by giving workers more control.
<u>Role of Government</u>	
Heavy role in healthcare and education as well as regulation of the free market	Government manages industry that are in the public's interest and ensures economic equality
<u>Role of Welfare</u>	
Creation of a welfare state to ensure a high quality of life for all citizens. A large social safety net.	Creation of a welfare state but also guarantees housing and pushes to eliminate poverty entirely.



The Third Way

Social Democracies rely on a “Third Way” of looking at economics (not a true socialist mindset, but not a laissez-faire capitalist mindset either)

- The Third Way - is a full acceptance that the free market is best for major industries of a nation, but a “cradle to grave” welfare system is set up.
- A cradle to grave welfare system (sometimes called womb to tomb welfare) is a system where social programs exist for citizens from birth (daycare, early childhood education etc.) to death (senior care, death benefits etc.)



Example of Cradle To Grave Welfare Sweden:

- Approximately 90% of the Swedish economy **is in private hands**.

Welfare services include:

- free prenatal care, extensive maternity benefits for both mothers and fathers, free daycare and nursery schools, and generous family allowances.
 - Older children receive free lunches and free university education.
 - All people receive free medical and dental care.
 - Workers receive subsidized lunches and bus tickets.
 - Workers are guaranteed five weeks of paid vacation per year.
 - Senior citizens have pensions tied to the cost of living; meaning that if the cost of living goes up, pensions go up.
-
- US citizens receive NONE of these benefits.

Sweden's Taxes:

Direct Taxes	Indirect Taxes
• real estate taxes • national taxes • personal income taxes (ranging from 30% to 55%) • corporate taxes	• national sales tax: Value-Added Tax (VAT) of 25% • excise taxes (on alcohol, tobacco, fuel, energy, waste, gambling)

Sweden Average 2023 Personal Tax Rate - 52.3%

Denmark Average 2023 Personal Tax Rate - 36%

Canada Average 2023 Personal Tax Rate - 25.1%

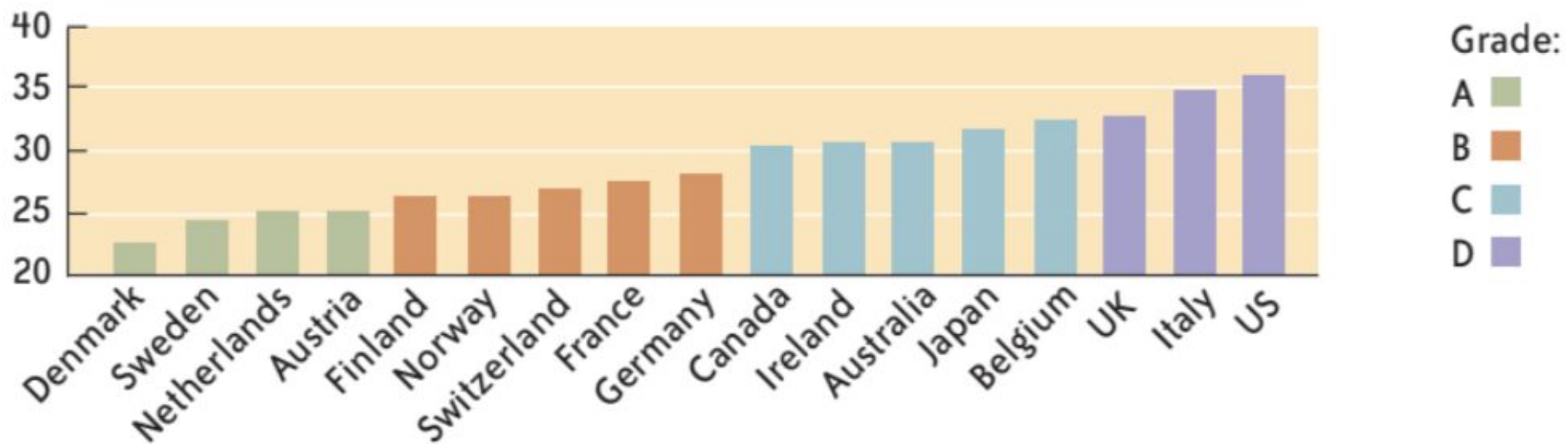
United States Average 2023 Personal Tax Rate - 13.3%

OECD Average Personal Tax Rate - 24.6% (OECD - 37 democratic nations with market economies)

The Nordic Model --- Viewpoints



Income Inequality:



What's Important to you?

Education Ranking

Nation	World Ranking
United States	14
Great Britain	11
Canada	5
Finland	1
Sweden	23

Purchasing Power (GDP)

Nation	World Ranking
United States	5
Great Britain	16
Canada	15
Finland	14
Sweden	12

Life Expectancy

Nation	World Ranking
United States	30
Great Britain	20
Canada	15
Finland	16
Sweden	5